6. The price in which a fixed asset can be sold in the market is known as:
   a. Replacement Value
   b. Realizable Value
   c. Scrap Value
   d. Book Value

7. The method of valuation of assets made on the basis of purchase price of the assets is called as:
   a. Cost Price Method
   b. Market Value Method
   c. Book Value Method
   d. Going Concern Value Method

8. Going concern value of assets is also known as:
   a. Historical Value
   b. Conventional Value
   c. Token Value
   d. All of these

9. Fixed assets should be valued at _____.
   a. Cost price less depreciation
   b. Annuity method
   c. Sinking fund method
   d. Cost Price

10. Freehold property is the _____.
   a. Immovable property
   b. Movable property
   c. Structures
   d. Intangible asset

11. Leasehold property means _____.
   a. Owner of holding
   b. Possession of property
   c. Owning for fixed term
   d. None of these

12. In the Balance Sheet, generally fixed assets must be shown at:
   a. Cost Price
   b. Market Price
   c. Cost or Market Price whichever is less
   d. Written Down Value

13. Quoted Investment of shares refers:
   a. Listed on RBI
   b. Listed on SEBI
   c. Listed on Stock Exchange
   d. Listed on SBI

14. Unquoted Investment of shares refers:
   a. Not listed on RBI
   b. Not listed on SEBI
   c. Not listed on Stock Exchange
   d. Not listed on SBI

15. Verification of assets is generally made at:
   a. the beginning of the year
   b. half year end
   c. throughout the year
   d. the end of the year

16. For valuation of plant and machinery, the auditor should depend upon the advice of:
   a. Managing Director
   b. Board of Directors
   c. Works Manager
   d. Company Secretary

17. Ownership is indefinite in case of:
   a. Leasehold Property

Chapter_04.indd 60 12/23/2019 3:44:07 PM